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MARKET FUNDAMENTALS

	YOY Chg	Outlook
$91,800 Median HH Income	▲	▲
1.0% Population Growth	▼	▲
3.6% Unemployment Rate	▲	▲

Source: BLS

ECONOMIC INDICATORS

	YOY Chg	Outlook
1.7% GDP Growth	▼	▲
1.1% Consumer Spending Growth	▼	▲
0.5% Retail Sales Growth	▼	—

Source: BEA, Census Bureau

ECONOMY: KEY INDICATORS SIGNAL CONTINUED GROWTH

In 2025, the Phoenix Metro reported an employment level of 2.5 million, after adding 31,200 jobs over the last year. While the unemployment rate bumped up from 3.3% to 3.6% during that period, it remained well-below the national average of 4.6% and ranked fourth-lowest among major U.S. metros with total employment of at least 2 million jobs. Strong wage growth continued to draw new entrants into the labor force, with the median household income increasing by 4.0% year-over-year (YOY) to $91,800. Population growth also doubled the national average, however, the 1.0% YOY increase marked a deceleration from previous quarters. While GDP growth also slowed slightly from last year, Phoenix's 2.2% YOY gain through 2025 remained well ahead of the national rate, underscoring the Metro's continued economic strength.

DEMAND: HEALTHY ABSORPTION SUPPORTS DECREASE IN VACANCY

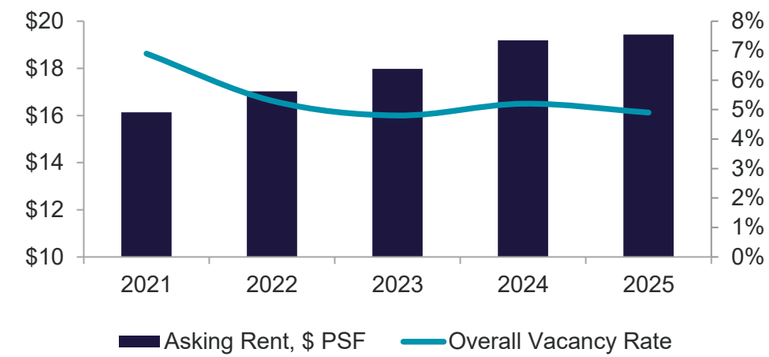
During the fourth quarter of 2025, the overall vacancy rate in the metro Phoenix retail market was 4.9%, a slight YOY decrease of 30 basis points (bps) from 5.2% recorded in Q4 2024. The East Phoenix submarket recorded the lowest overall vacancy rate at 2.5%, while the Mesa submarket recorded the highest overall vacancy rate at 9.6%.

The Metro registered 493,210 square feet (sf) of positive absorption in Q4, pushing the year-to-date (YTD) total to 1,326,169 sf. This level of demand represents a 252.4% increase compared to 2024, with three submarkets — Northwest Phoenix (554,425 sf), Southeast Valley (426,017 sf) and Tempe (295,021 sf) — underpinning the Metro's overall performance. Still, demand was generally widespread, with seven out of 11 submarkets noting positive absorption YTD, compared to six at the same time last year.

PRICING: AVERAGE ASKING RENT CONTINUES TO CLIMB

The direct average asking rate for metro Phoenix retail market was $19.44 per square foot (psf) on an annual triple net basis in the fourth quarter of 2025. This marks a 1.2% YOY increase from the $19.21 psf average asking rate that was recorded in the fourth quarter of 2024. In Q4 2025, the Scottsdale submarket had the highest asking rate of the eleven submarkets, at $28.35 psf. The Southwest Phoenix submarket had the lowest asking rate of the eleven submarkets, at $11.96 psf.

ASKING RENT / VACANCY RATE



SPACE DEMAND / DELIVERIES

Source: CoStar

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (NNN)*
Northwest Phoenix	28,597,240	38,236	946,927	3.4%	203,701	554,425	631,346	209,703	$19.05
Southwest Phoenix	4,006,049	0	206,473	5.2%	-364	11,425	37,076	84,000	$11.96
North I-17	18,603,279	12,812	1,283,820	7.0%	45,729	-79,229	461,413	9,400	$16.34
North Central Phoenix	9,951,697	17,939	449,302	4.7%	-20,154	71,774	281,256	102,800	$19.61
Scottsdale	14,558,570	13,504	633,263	4.4%	1,893	40,342	420,341	0	$28.35
Mesa	8,129,528	4,661	775,616	9.6%	84,660	-103,252	315,232	0	$13.44
Southeast Valley	38,681,858	20,721	1,772,778	4.6%	88,949	426,017	1,119,981	764,114	$22.07
Tempe	6,968,376	9,515	251,184	3.7%	8,633	295,021	81,186	0	$18.78
Sky Harbor Airport	1,125,220	4,020	48,265	4.6%	-4,102	-7,469	19,525	0	$17.36
East Phoenix	4,791,468	0	121,309	2.5%	77,547	118,606	131,393	0	$19.47
CBD	403,531	0	23,013	5.7%	6,718	-1,491	12,410	0	$33.38
PHOENIX TOTALS	**135,816,816**	**121,408**	**6,511,950**	**4.9%**	**493,210**	**1,326,169**	**3,511,159**	**1,170,017**	**$19.44**

** Rental rates reflect Triple Net asking $PSF/Year*

KEY LEASE TRANSACTIONS Q4 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Greenfield Plaza II	Southeast Valley	Goodwill	52,500	Direct
Scottsdale Fiesta Shopping Center	Scottsdale	Center Court Pickleball	36,865	Direct
Paseo Del Oro	Southeast Valley	Covenant Life Christian Center	31,101	Direct
Desert Palms	Southeast Valley	Burlington	25,197	Direct
Central Marketplace	Southwest Phoenix	Tractor Supply	23,000	Direct

KEY SALE TRANSACTIONS Q4 2025

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Paradise Valley Marketplace	North Central Phoenix	Kite Realty Group Trust / JMS Capiyal	92,184	$45.0M / $488
Mesa Shores	Southeast Valley	MCB Property Services InvenTrust Properties Corp	104,250	$36.8M / $352
1775 N 99th Ave	Northwest Phoenix	Thompson Thrift / Leontina Ferreira	47,201	$30.1M / $650
Paradise Village Gateway	North Central Phoenix	SITE Centers / Gulf Coast Commercial Group	292,992	$28.5M / $97
1616 W Ruby Drive	Southeast Valley	LTF Real Estate Company / North Haven Net REIT	108,890	$26M / $238

Sources: Costar, MSCI Real Capital Analytics, Vizzda

KEY CONSTRUCTION COMPLETIONS 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Prasada North	Northwest Phoenix	Target	350,000	SimonCRE
Sam's Club – Tempe Marketplace	Tempe	Sam's Club	150,000	Vestar
Target – Vineyard Towne Center	Southeast Valley	Target	145,000	Woodbine Development Corp.

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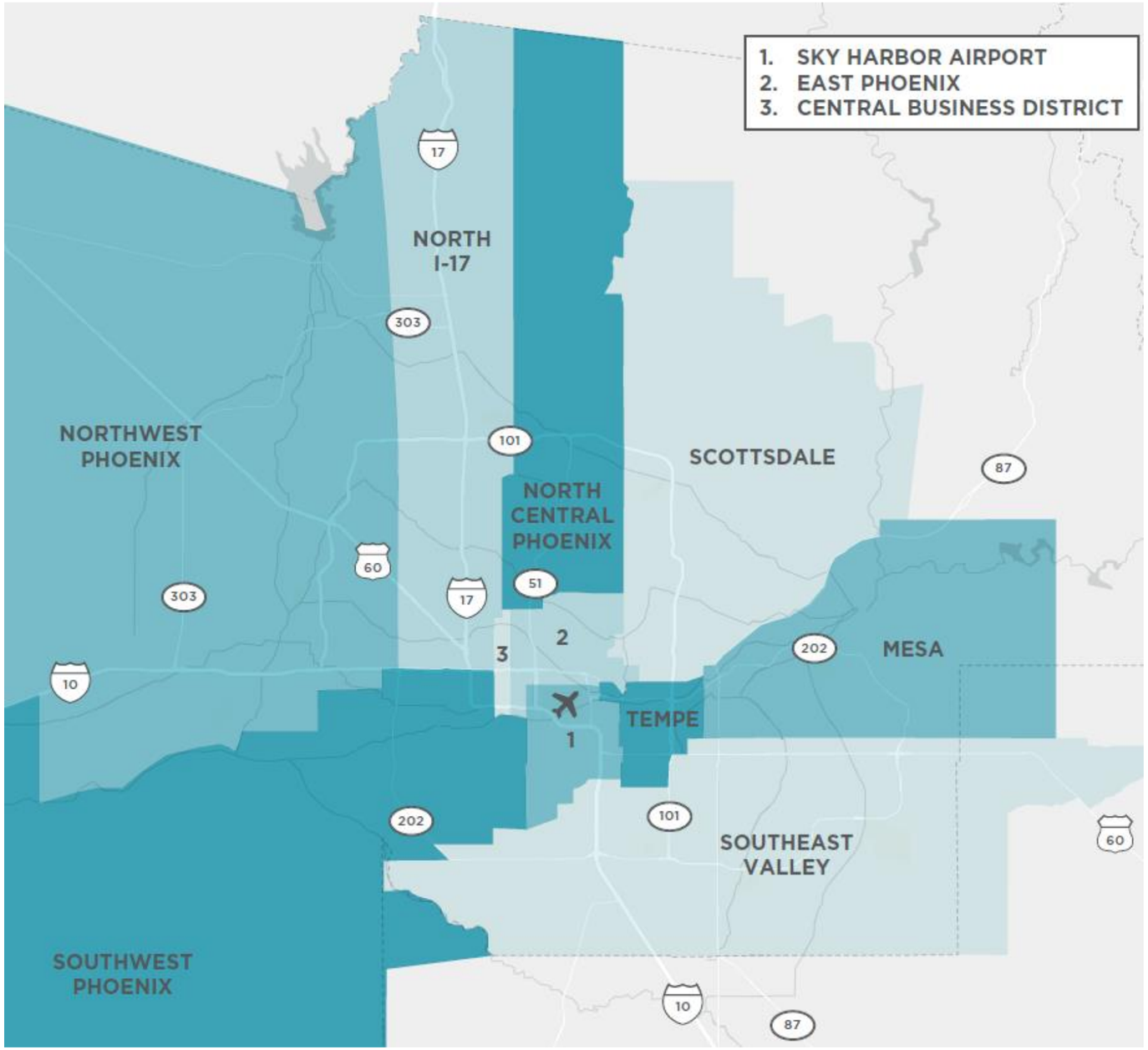
RETAIL SUBMARKETS



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